

Multiple Choice (10 marks)

1. When the capital/output ratio for the annual output is 2, what is it for quarterly output?
 - (a) 10
 - (b) 5
 - (c) 0.5
 - (d) 3
 - (e) 2
2. State one important reason why Smith's principle of the "invisible hand" does not assure the "perfect functioning," without government intervention, of the U.S. economy today.
 - (a) Smith's principle is outdated
 - (b) Smith's principle relies on the assumption of unlimited natural resources
 - (c) Government intervention is always necessary
 - (d) The "invisible hand" is countered by the presence of monopolies and oligopolies
 - (e) Perfect competition is required for Smith's principle to be completely effective
3. Suppose that the interest rate has risen from 8% to 10% over a three year period while inflation has risen from 3% to 5%. What has happened to the real interest rate.
 - (a) Real interest rate decreases by 2%
 - (b) Real interest rate more than doubles
 - (c) Real interest rate decreases
 - (d) Real interest rate increases
 - (e) Real interest rate is halved
4. Which of the following situations best exemplifies the concept of consumer surplus?
 - (a) A consumer gets a pizza for free.
 - (b) The federal government has taken in more revenue than it has paid out in expenditures.
 - (c) The total amount a consumer is willing to pay for a pizza is less than the market price.
 - (d) A consumer pays less for a pizza than the cost of its production.
 - (e) It refers to a consumer who no longer has any outstanding debts.
5. One drawback of using fiscal policy to close a recessionary gap is that

- (a) unemployment will rise.
- (b) taxes will have to be raised.
- (c) the equilibrium price level will rise.
- (d) government spending on important programs will have to be cut.

True / False (10 marks)

Answer True or False

6. True or False: The present value of a security with a maturity value of 100,000, *a coupon rate of 5*
6. True or False: An easy money policy by the Fed typically results in an increase in net exports due to higher domestic demand.
7. True or False: When Bank A receives a 1000 *deposit and grants a* 500 loan, the money supply increases by \$500.
8. True or False: In a two-sided alternative test, H_0 is typically not rejected regardless of the evidence presented.
9. True or False: Monopolistic competition features few competitors, product similarity, and high barriers to entry.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the conditions under which marginal cost equals average variable cost and average total cost, and analyze the implications of these intersections for a firm's production decisions.
12. Discuss how the purchase of a vintage car, such as a 1957 Chevy from a friend, influences GDP calculations and the broader implications for economic transactions.

End of Paper